

Market structures

There are two broad categories in which market structures are divided i.e. perfect and imperfect. This classification is on the basis of the ability of an individual firm to affect the market price which in turn depends on the level of competition in the industry.

Perfect competition: It is the market structure in which an individual firm has no power to determine or influence the market price. The prices are determined by the forces of demand and supply and all the firms sell their output at that price. Examples of perfectly competitive market are the agriculture sector, currency market and stock exchange market.

Characteristics of perfect competition

- there are a large number of firms in the market/many buyers and sellers so each firm's output is too insignificant to affect prices/each firm is a price taker/each consumer is too insignificant to affect price
- each firm produces an identical/homogeneous product products are perfect substitutes/demand is perfectly elastic
- there is perfect information firms know level of profit being made in the market/ consumers know prices charged
- no barriers to entry or exit firms will come into the industry if supernormal profits are being made/firms will leave the industry if losses are made or profits are below normal
- normal profits are made in the long-run these are just sufficient to keep the firms in the industry
- no advertising due to perfect knowledge/products identical

Monopoly: A pure monopoly is a situation in which there is a single seller of a good or service which has no close substitutes. In this situation the firms demand curve is the industry's demand curve because the industry comprise of a single firm.

Examples of pure monopoly are public utilities such as gas, water and power.

Another definition of monopoly is that a firm is said to be a monopoly when it sells at least 25% of the total market supply provided that the rest of the firms are sufficiently small for e.g. De-beers a South African company which owns and controls over 75% of the world diamond mines.

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Features:

1. Single seller
2. No close substitute
3. Firm is a price maker
4. There are strong barriers to entry

Barriers to entry: The power of the monopolist depends on the effective barriers to entry. These barriers can be of various forms:

1. **Economies of scale:** If monopoly experiences significant economies of scale, his average costs will fall which will act as a barrier for the new firms and they won't be able to enter into the industries.
2. **Ownership and control of resources:** If a firm governs the supply of an important raw material, it can deny access to these inputs to the other producers.
3. **Legal protection:** A monopolists may be protected by patents which are usually issued to an inventor. Similarly a monopolist may be protected through copyrights.
4. **Brand image:** A monopolists usually spends huge sums of money on advertising and branding, hence it is often difficult and costly for new firms to attract consumers away from the well-known brands.
5. **Restrictive practices:** A monopolist may create barriers for new firms in many ways for e.g. he may threaten the suppliers not to supply the raw materials to the competitors. He may also force the seller to exclusively deal in his product.

Advantages of monopoly:

1. Low average cost (large scale production)
2. Economies of scale
3. Competitive advantage in overseas markets and exports
4. Large scale investment
5. Research and development
6. Innovations are likely to occur
7. Provides stability of output and prices

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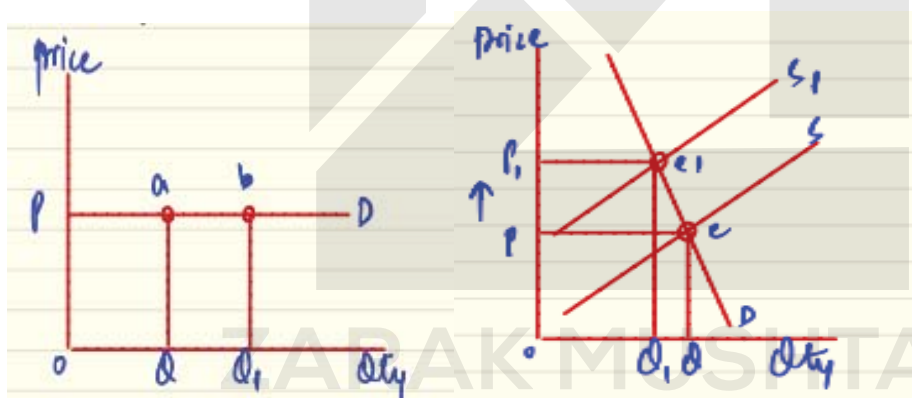
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Disadvantages of monopoly:

1. Monopolies use market power to restrict supply therefore increases the price level, affecting consumers negatively
2. No innovation because of supernormal profit (abnormal profit i.e. revenue is greater than cost), as monopolies are aware that consumers don't have other options (inelastic demand), so anyhow they will earn profit.
3. Delay technical progress by restricting the entry of new firms.
Entrepreneurs with fresh ideas may be excluded from the market.
4. Restricted choice of producers for consumers

Price taker: This would apply to a firm that is in a perfectly competitive market structure where the price is determined by market conditions/all firms in the market have to accept this price/one firm's output is too small to influence price

Price maker: This would apply to a firm that is in a monopoly market structure; a monopoly firm is able to use its market power to determine the price it wishes to charge/a monopoly's output is the industry's output



Pricing and output policies in perfect competition are more favourable to the consumer than those in monopoly:

Perfect competition more favourable:

- price may be lower due to competitive pressure driven down to a level which just covers costs
- output may be higher as firms will not be restricting output to drive up price

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- firms are likely to be responsive to changes in consumers' demand trying to gain a competitive edge
- firms may innovate perfect knowledge spreads information about new methods/ products competitive pressure may force firms to innovate

Monopoly more favourable:

- monopoly likely to be a larger firm more able to take advantage of economies of scale example/s of economies of scale lower average costs of production may lead to lower prices
- monopoly may earn supernormal profits these may be used to innovate monopoly may feel safer innovating knowing that it can protect any resulting supernormal profits innovation can lower prices improve quality of products



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